

June 22, 2026 05:21 PM GMT

Global EM Strategist

Plot Twist, But No Change In View

A new Fed doesn't mean a new bear market for EM. We continue to expect EM currencies to rally vs G3, as risk appetite remains strong, lower oil prices are helping and fundamentals & policy are improving. FX strength should help a recovery in bonds through more dovish CB pricing.

Key Takeaways

- EM local currency bond yields have not fallen as much as the drop in energy prices might suggest.
- Higher core rates, a strong USD and continued market pricing for rate hikes at the index level have limited the duration rally.
- Some of these headwinds should fade as we generally expect rate cuts from EM over the next 12m, not hikes, and are bullish EM currencies at least vs G3.
- ZAR and HUF offer opportunities for investors looking to monetise rates risk premia.
- EM FX continued to deliver positive total returns in June again G3 and we continue to recommend a diversified funding approach to focus on the value in EM and the uncertainty over the USD cycle.

Must reads from Global EM Strategy

Colombia Economics & Strategy Colombia Election Update: A Close Call Validates Base Case | 22-Jun-2026

De la Espriella secured one of the highest vote shares among recent presidents, but the narrow margin underscores the need for a mandate for policy change, rather than a blank check.

Fixed Income Strategy: Bloomberg Ticker Almanac | 18-Jun-2026

This new annual publication details our entire catalogue of data that we host on the Bloomberg Terminal. We provide clients access to time series data requiring complex transformations to make it more readily accessible - this bespoke data is a useful tool to help clients add alpha to their portfolios.

Colombia Fixed Income Strategy & Economics: Trip Takeaways: A Problem For Later | 15-Jun-2026

Markets price in a high probability of a De la Espriella win, consistent with on-the-ground sentiment. Initial announcements and a supportive backdrop could keep sovereign credit spreads supported, although the feasibility of a fiscal adjustment remains unclear in any election outcome.

India Economics & Strategy: Boosting Capital Flows – A Constructive Shift

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| 14-Jun-2026

The coordinated RBI-government package could draw US\$40-60bn of incremental capital inflows, helping keep the BoP in balance in F27. We expect liquidity to remain in surplus and funding conditions to ease. The RBI is likely to hold rates at 5.25%, but upside inflation risks could hasten tightening.

CEEMEA Macro Strategy: South Africa: 1y1y-2y2y Steepener | 10-Jun-2026

South Africa rates reflect a gap between market pricing (~75bp hikes) and our lower baseline of one more 25bp hike this year, with risks driven by inflation uncertainty and global rate dynamics. We see front-end steepeners (1y1y–2y2y) as attractive, given asymmetric upside from oil, politics, and FX risks. We remain neutral on USD/ZAR.

Global EM Strategy

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EM bond yields have not fallen as much as oil and broader energy prices would have suggested, based on their tight correlations over the past few months. Higher core rates, EM currency weakness and continued market pricing for tighter monetary policy from EM central banks over the coming year all help to explain this.

Yet, with energy prices continuing to fall we expect risk appetite to be robust, helping EM currencies stay strong on at least a trade weighted basis. We see a Fed on hold this year, which will also help EM central banks to deliver a more dovish path than the markets expect. In other words, EM local bond yields should move lower in coming weeks and months.

Local markets trades overview

- **Rates: CEEMEA:** SA 1y1y-2y2y steepener, HUF 5Y5Y receiver versus PLN 5Y5Y payer, long NGOMOB 22-Sep-26 (FX-unhedged); **Asia:** Pay 5y HKD IRS versus USD IRS, pay 5y INR NDOIS, 1s5s THB NDTHOR steepener; **LatAm:** Buy 2028 MBonos, Pay Jan 29 DI
- **FX: CEEMEA:** Short EUR/HUF, short 3m USD/TRY forward; **LatAm:** Short PEN/CLP

Why are yields not lower?

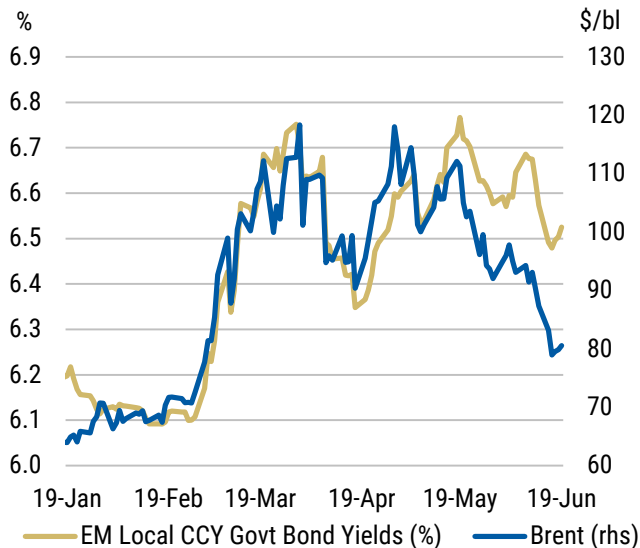
Oil prices closed last week at the same level they opened on the first day of trading following the start of the US-Iran conflict. There are still risk premia in markets clearly, but oil prices have come a long way down from the highs.

EM local currency government bond yields have not made as much progress as oil prices. EM local currency index yields and oil prices were tightly correlated in the first 2 ½

months after the outbreak of the conflict, but have started to diverge over the past month, with index yields failing to fall as fast as oil prices ([Exhibit 1](#)).

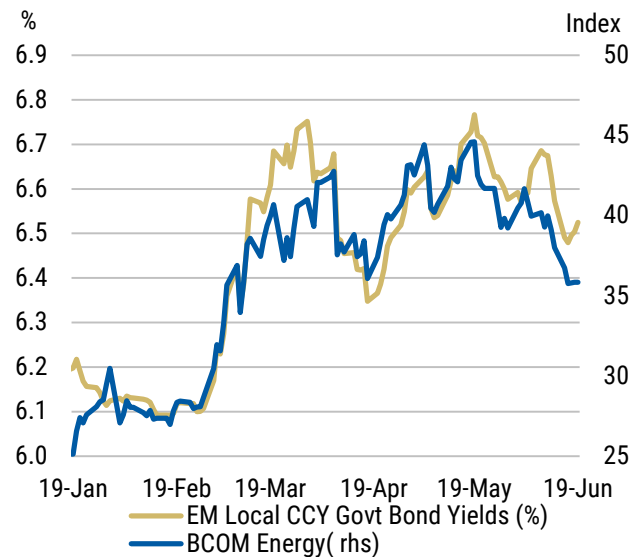
If we use a broader measure of energy prices, like the Bloomberg Energy Index, the gap is not so large, but some 10-15bp cheapness is observable based on this relationship.

Exhibit 1: Yields have lagged the move in oil prices



Source: Bloomberg, Morgan Stanley Research

Exhibit 2: Even using a broader measure of energy prices, yields look 10-15bp too high



Source: Bloomberg, Morgan Stanley Research

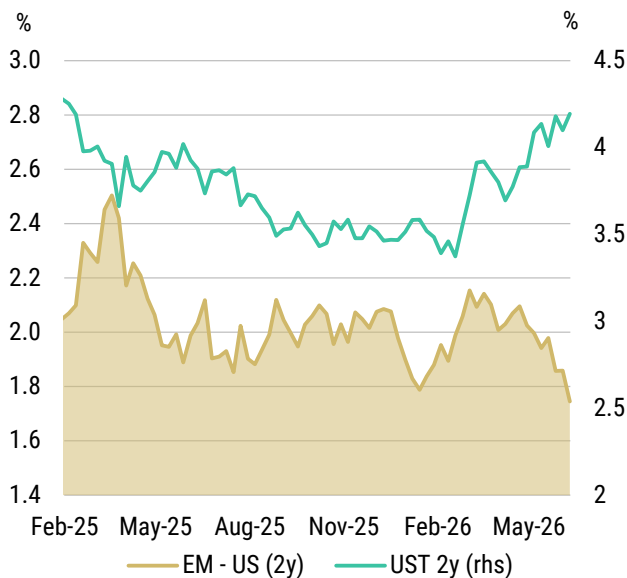
There are a few reasons EM yields have not fallen further

US yields have moved higher: Strong US data and a hawkish FOMC have led to an unfavourable backdrop for EM local bonds, pushing UST yields higher as energy prices have fallen.

It is notable though that EM has outperformed, with nominal yield differentials breaking below the pre US-Iran conflict lows and narrowing ~50bp from the highs. ([Exhibit 3](#))

In real terms, EM has also outperformed the US as energy prices have come lower, with ex ante real yield differentials compressing almost back to the pre-conflict levels ([Exhibit 4](#)).

Exhibit 3: EM yield compression vs USTs continues in nominal terms...



Source: Bloomberg, Morgan Stanley Research

Exhibit 4: ... and in real terms EM has reversed US-Iran conflict underperformance



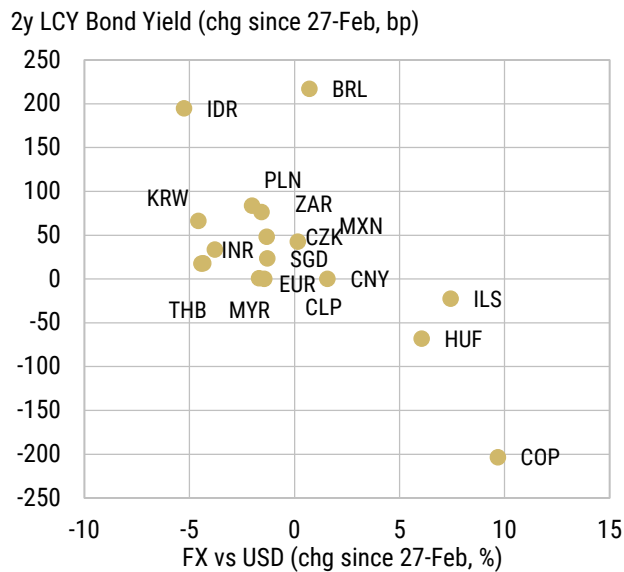
Source: Bloomberg, Morgan Stanley Research

USD strength. There continues to be a good correlation between movements in EM currency and EM rates and unsurprisingly the markets that have seen the biggest FX moves are also those markets with the largest moves in bond yields, with COP, HUF and ILS at the bullish end of the scale and TRY (not shown on chart for scale), IDR, KRW, INR and THB on the bearish end. BRL is an outlier, with a significant move higher in bond yields despite a resilient currency since Feb 27th.

Despite the role exchange rates can play in helping to explain the relative performance of different EM bond markets, adjusting for exchange rate movements doesn't improve relationship between movements in energy prices and yields.

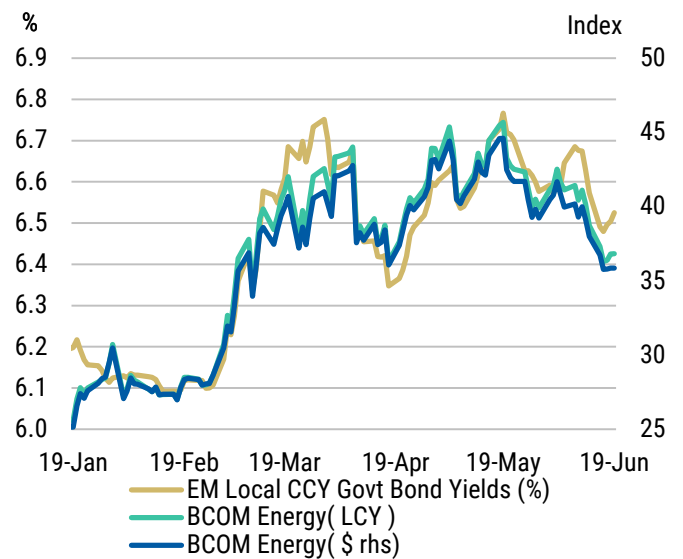
If we add energy prices in EM local currency terms (on an index-weighted basis) to [Exhibit 2](#), rebasing the series so the local currency version is the same value as the USD version on 27th Feb, then we can see that energy prices in EM local currency terms are only a touch higher than in USD terms over that time period, reflecting the 3% weakening in EM FX on a spot basis. This does little to explain the more limited drop in index yields vs energy prices.

Exhibit 5: FX performance helps to explain relative bond performance...



Source: Bloomberg, Morgan Stanley Research

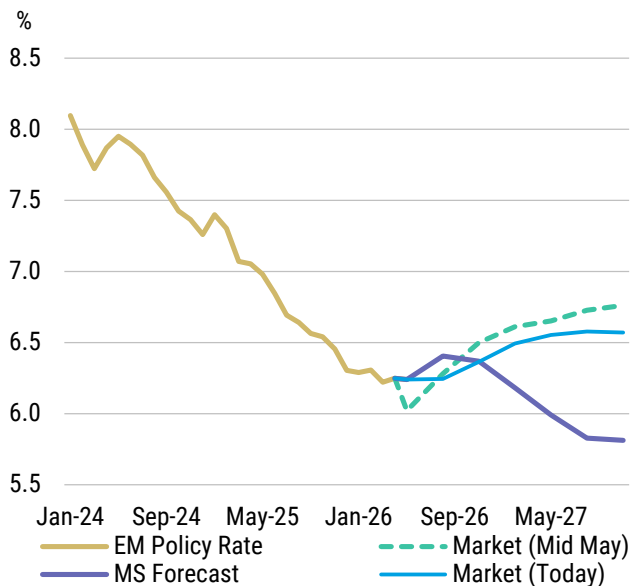
Exhibit 6: ...but does little to explain the lag in index yields vs energy prices



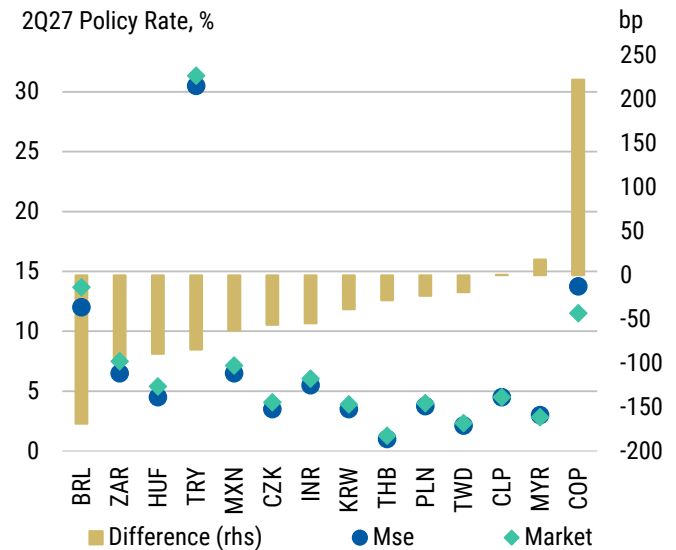
Source: Bloomberg, Morgan Stanley Research

EM monetary policy still points to hikes: Markets continue to price higher policy rates across EM, at least at an index level. The extent to which markets are pricing higher policy rates has come down a touch relative to the levels seen at the time we published our Mid-Year Outlook in mid May ([Exhibit 8](#)), and when concern about high oil prices was greater. But nonetheless, continued market pricing of higher policy rates has limited the rally in bonds.

Higher short-term rates can be seen in 1y1y swap rates which remain comfortably above the Feb 27th levels, even if down from the highs seen at the peak of concerns about the inflation outlook. ([Exhibit 7](#)). Morgan Stanley economists remain more dovish than the market on the path for central bank policy more or less across the board in EM, and this supports a more constructive view on at least the front-end of EM curves ([Exhibit 8](#)).

Exhibit 7: 1y1y rates are higher in EM than Feb 27th levels

Source: Bloomberg, Morgan Stanley Research

Exhibit 8: MS more dovish than market on central bank pricing

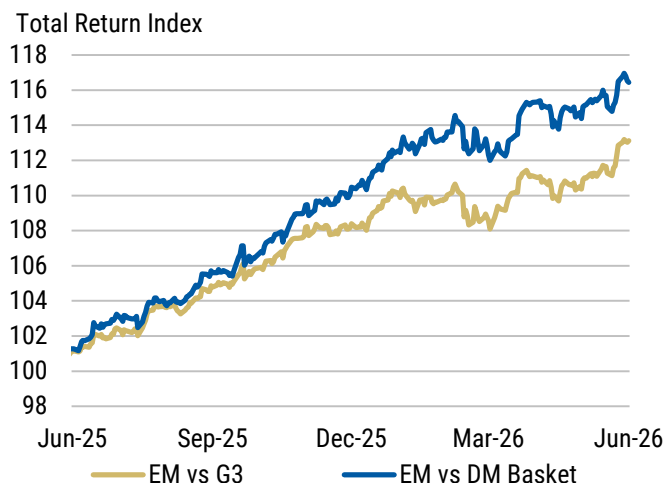
Source: Bloomberg, Morgan Stanley Research

Stay Long EM vs Basket

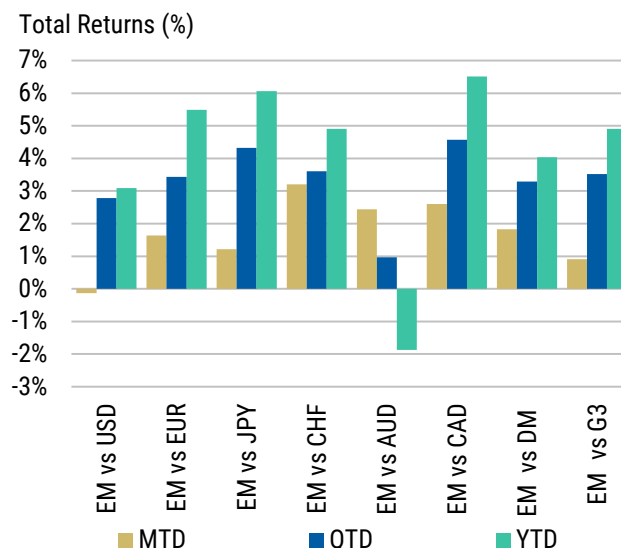
We argued in our last EM strategist (see [Global EM Strategist: Finding Your Funder](#)) that EM would likely continue to perform well vs a range of different DM currencies. With the USD on a stronger footing following the last FOMC meeting, this thesis is being tested.

So far, so good: Our index of EM currency total returns continues to make new highs vs G3 (USD, EUR, JPY) a diversified DM basket (G3 + CHF, AUD, CAD). Over the past month, quarter and year to date, EM currencies have delivered positive returns against all funding currencies with the exception of AUD (on a ytd basis) and USD (just, on a mtd basis) ([Exhibit 9](#) & [Exhibit 10](#)).

We continue to believe in our bottom up thesis that the asset class is well placed to take advantage of continued strong risk appetite, limited global investor allocation to EM local and generally positive fundamentals. With continued debate over the USD cycle, investors looking to position to isolate the EM exposure as best as possible could consider a G3 or broader DM funding basket.

Exhibit 9: EM vs DM Gains Continue

Source: Bloomberg, Morgan Stanley Research

Exhibit 10: Broad EM FX gains vs many DM funders

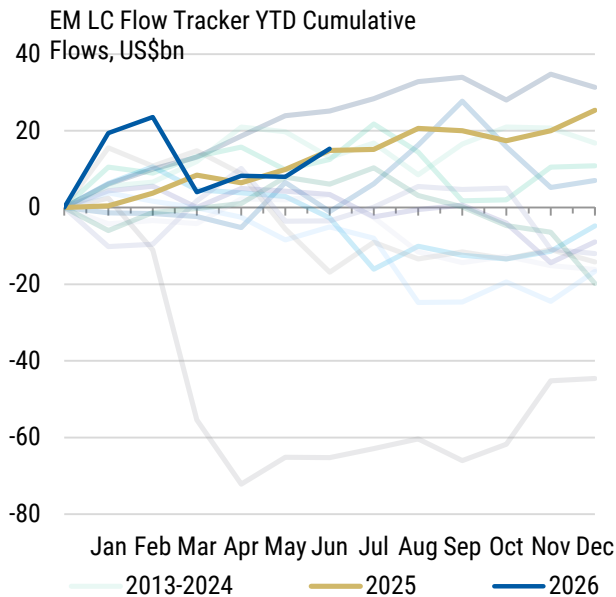
Source: Bloomberg, Morgan Stanley Research

What can we say about positioning?

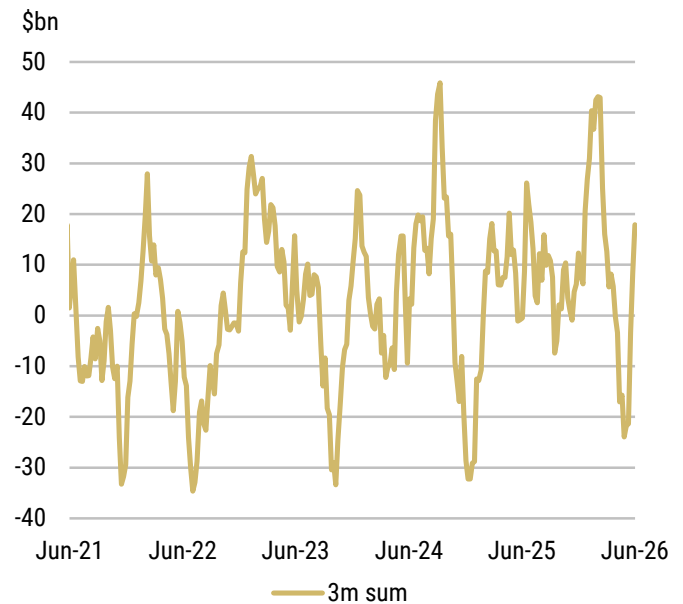
In EM local currency bond markets, our flow tracker covers 9 EM markets – all benchmark countries – that report data on foreign holdings of local currency government bonds on a reasonably high frequency basis. Some of the data are more timely than others, but overall we can get a reasonable sense of foreign flows by making valuation and exchange rate adjustments.

As of Friday June 19th, we had data from 5 of the 9 countries. The data are a good approximation for trends in the overall market (see our [primer here](#))

- **Picking up.** After heavy outflows in March, and stability in May, flows have started to pick up again in June. YTD inflows are similar to what we saw in 2025. We expect to see inflows pick up as we move through the year, particularly if oil prices fall further and we see great global fixed income stability.
- **3m sum flows rebounding:** Rolling 3m sum flows dropped from \$40bn in mid Feb to around -\$20bn at the end of May but are now rebounding. As the heavy outflows from March gradually fall out of the rolling 3m sum and we see greater stability in new flow, this indicator should continue to rise.
- **YTD returns are flat:** Total returns for EM local markets peaked in 2H Feb and now stand at around 1.5% YTD, with coupon/carry offsetting losses from spot FX and duration.

Exhibit 11: Flows have stabilised

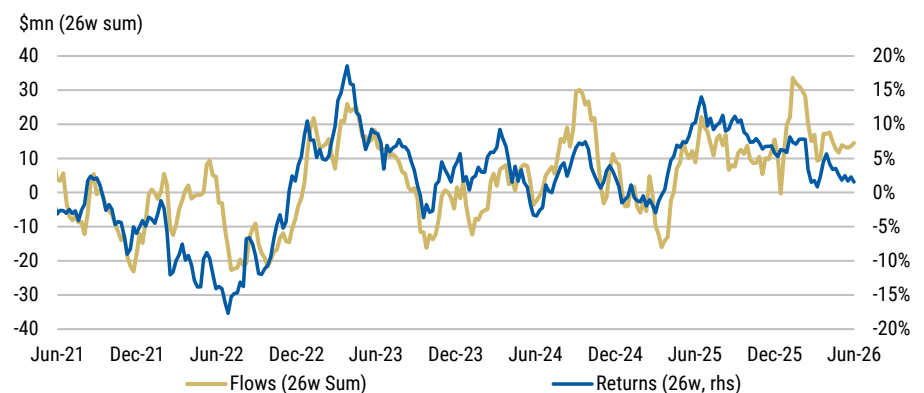
Source: Haver, National Sources, Bloomberg

Exhibit 12: 3m flows negative but the weakness is back-loaded

Source: Haver, National Sources, Bloomberg

Our flow tracker into 9 EM local markets is correlated with the returns of the overall local currency government bond market. This is not surprising, but confirms the validity of our tracker. Over the past 6m, returns and flows are very much in the neutral zone, though some modest divergence is opening up with returns softening.

Exhibit 13: Inflows are correlated with returns. So if we hit extremes on outflows (not there yet) the risk/reward to enter the market could be strong



Source: Morgan Stanley Research, Bloomberg

In FX markets, we use FX options data to gauge positioning, and these data continue to show a long USD bias for investors.

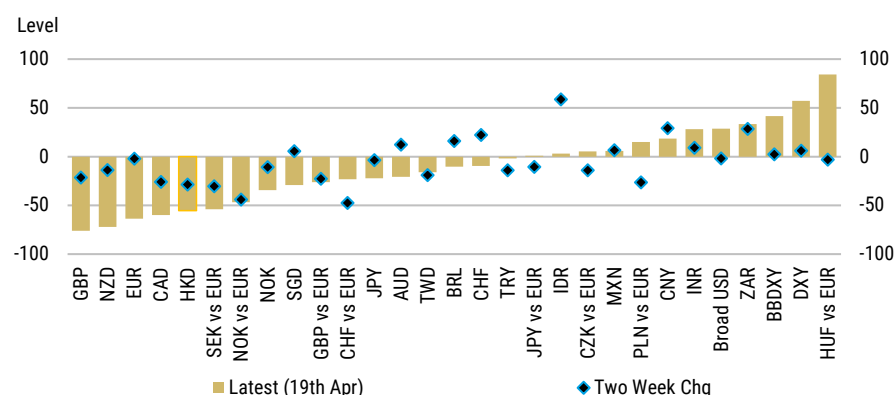
- **Long USD positions:** The DXY, BBDXY and the Broad USD are USD indices that investors track. Aggregating the individual currency pairs to reflect these indices shows that investors remain long USD, and added to these positions modestly in the last week, particularly against GBP and CAD.

Recent data have shown the resilience of the US economy amid high oil prices, with more

weakness shown in Europe. US equity market outperformance and a more hawkish than expected FOMC meeting had led to renewed talk of US exceptionalism – a vaguely defined term but generally associated with USD strength.

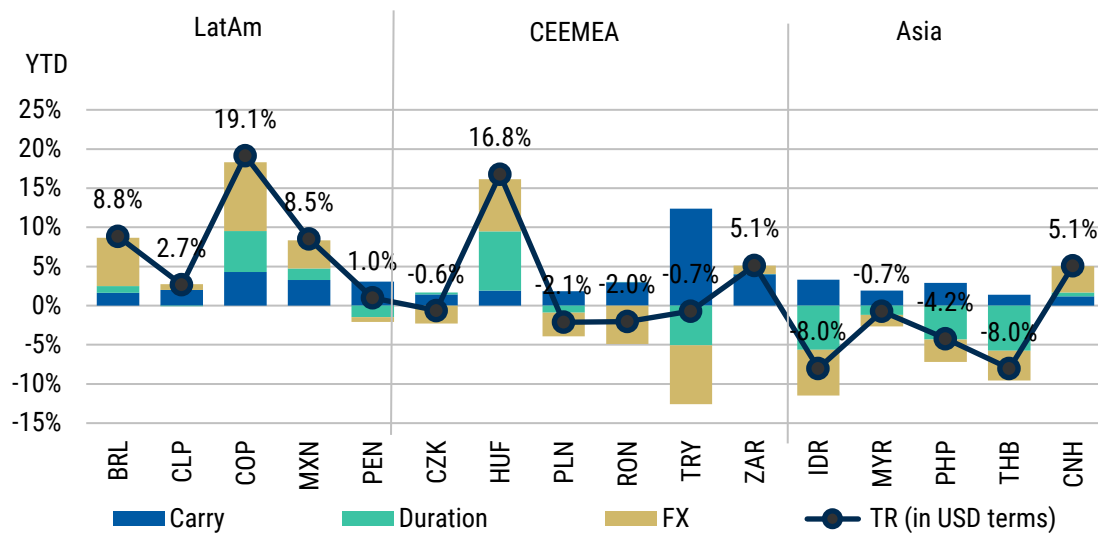
Across EM, the heavy long HUF position remains unchanged – a position we share with our expectation that EURHUF can fall to 340. We have seen some modest profit taking here but expect investors to remain engaged with the theme. Investors remain constructive EM though broadly speaking, adding to long ZAR, CNH, IDR and INR positions recently. BRL exposure is now neutral. We stay bullish on EM currency and share the optimism reflected in FX options data.

Exhibit 14: Positioning in the FX Options Market



Source: DTCC, Bloomberg, Morgan Stanley Research; Note: Using options that were traded in the past three months and expire in the coming one month. Notionals are delta-adjusted. Data as of Friday, April 19. See [FX Trading Signals From Options Data](#) and [Assessing FX Positioning with Currency Options](#)

EM total returns for the year remain around 1.5% though with significant regional variation. Latin America remains the only region with broad positive total returns across multiple countries, with duration and FX both positive. Optimism about policy change in Colombia has led to significant returns in recent returns and the country has overtaken Hungary as the asset class' biggest outperformer. In CEEMEA Hungary is the standout performer, with ZAR contributing somewhat too. Asia continues to lag with only China providing positive returns.

Exhibit 15: Much of CEEMEA and Asia have underperformed ytd)

Source: Bloomberg, Morgan Stanley Research

Required reading

Senegal Sovereign Credit Strategy: Local Currency Auction Tracker - 19 June 2026 | 22-Jun-2026

Senegal's local currency auctions are an important driver of sovereign credit valuations. In this tracker, we break down the latest auction and place the results in the context of historical trends.

Fixed Income Strategy: Bloomberg Ticker Almanac | 18-Jun-2026

This new annual publication details our entire catalogue of data that we host on the Bloomberg Terminal. We provide clients access to time series data requiring complex transformations to make it more readily accessible - this bespoke data is a useful tool to help clients add alpha to their portfolios.

Indonesia – Economics, Macro & Equity Strategy: Value Re-established but Stay Underweight for Now | 18-Jun-2026

Although the equity risk premium has risen substantially it could well rise further creating a better buying opportunity later. The upcoming MSCI decision point is a less important signpost than a return to positive earnings growth

Czech Republic Economics and Macro Strategy: CNB Review: One Move, Open Risks | 18-Jun-2026

The CNB raised its key policy rate by 25bp to 3.75%, somewhat earlier than we expected. The statement pointed at extra caution for additional action. We continue to expect no additional tightening this year, but see risks skewed to the upside. We stay neutral on Czech rates and FX.

Brazil Economics and Strategy: Central Bank Review: Keeping its options live | 18-Jun-2026

- BCB cut rates by 25bps to 14.25%, in line with our and the market's expectations; tone shifted further data-dependent
- BCB assessment on macro scenario – inflation and activity – turned more hawkish; its inflation forecast rose 20bp to 3.7% for 4Q27, as we expected
- BCB added a dovish passage, however, in what seemed a justification and validation of the continuation of the calibration cycle so far
- We expect rates on hold at next meetings; door was not fully closed to another cut, but possible further rise in inflation expectations should favor a pause
- Strategy-wise, we think that the DI curve is likely to embed more premia for hikes given external and domestic factors, and we recommend to pay Jan 29 DIs.

Hungary Economics and Macro Strategy: NBH Preview: Breaking the Delay | 17-Jun-2026

We now expect the NBH to ease its base rate by 25bp to 6% at its upcoming June core meeting. Further ahead, we see the policy rate falling to 5.50% in end-2026 and 4.50% in end-2027. We continue to think EUR/HUF can move towards 340 and the long end can continue to perform well.

LatAm Macro Strategy: Closing July 27 DI Receivers | 16-Jun-2026

We close our July 27 DI receiver recommendation entered last week (target: 14.40%), as we see current priced-in levels as more compatible with our near-term outlook for the BCB. As noted in our BCB preview, our trade recommendation was underpinned by the view that the short-end premia for hikes looked overdone and that the BCB is likely to deliver a 25bp cut at the June meeting (in line with our economists' view), but signal a pause in the easing cycle without validating premia for hikes.

Colombia Fixed Income Strategy & Economics: Trip Takeaways: A Problem For Later | 15-Jun-2026

Markets price in a high probability of a De la Espriella win, consistent with on-the-ground sentiment. Initial announcements and a supportive backdrop could keep sovereign credit spreads supported, although the feasibility of a fiscal adjustment remains unclear in any election outcome.

India Economics & Strategy: Boosting Capital Flows – A Constructive Shift | 14-Jun-2026

The coordinated RBI-government package could draw US\$40-60bn of incremental capital inflows, helping keep the BoP in balance in F27. We expect liquidity to remain in surplus and funding conditions to ease. The RBI is likely to hold rates at 5.25%, but upside inflation risks could hasten tightening.

EM Sovereign Credit Strategy: Where Supply Meets Demand | 12-Jun-2026

EM flows: Global-mandated EMDD funds saw outflows worth US\$740m last week, from US\$1.4bn inflows from the prior week.

Turkey Economics and Macro Strategy: CBT Review: A Refined Balance | 11-Jun-2026

The CBT remained on hold, cautiously shifting towards a refined balance between weaker economic growth and pro-inflationary risks. We still see the policy rate at 35% at year-end, with upside risks. We close our 1Y TRY OIS payer and maintain a short USD/TRY position in the 3-month tenor.

CEEMEA Macro Strategy: South Africa: 1y1y-2y2y Steepener | 10-Jun-2026

South Africa rates reflect a gap between market pricing (~75bp hikes) and our lower baseline of one more 25bp hike this year, with risks driven by inflation uncertainty and global rate dynamics. We see front-end steepeners (1y1y–2y2y) as attractive, given asymmetric upside from oil, politics, and FX risks. We remain neutral on USD/ZAR.

Argentina Sovereign Credit Strategy: Momentum Keeps Building Towards Market Access | 10-Jun-2026

The second upgrade to B- by S&P is a key positive and was probably the most important of the six steps we think Argentina wanted to achieve before returning to markets. That said, with the other five steps ongoing, we stick with our view that issuance only happens late in 3Q26.

Argentina Sovereign Credit Strategy: GDP Warrants: In Search of a Deal | 09-Jun-2026

Multiple factors suggest we may be getting closer to a resolution on the GDP warrants,

either partial or in full. We think this would unlock further near-term upside across both GDP warrants. Even in absence of this, we expect the legal momentum to remain, bringing upside but over the longer term.

CEEMEA Sovereign Credit Strategy: LIC-DSF 4.0: A First Look | 09-Jun-2026

The new LIC-DSF separates stress from unsustainability, brings domestic debt, GFNs and interest costs into focus, and refreshes debt-capacity scores. Senegal could be the key test case, with recoveries pressured by high GFNs and domestic rollover risks.

EM Sovereign Credit Strategy: Rich & Cheap Watch | 09-Jun-2026

EMBIG-D tightened by 2bp to 235bp in the past week (1W). Spreads tightened the most in B and tightened the least in A rating categories. Region-wise, spreads widened the most in Asia and tightened the most in Latin America.

Trade Table

Exhibit 16: Trades overview

		Entry Date	Entry Level	Current	Target	Stop	Notional (\$m or k DV01*)	Gross P&L bp	US\$k
SOVEREIGN CREDIT									
Outright	Buy ARGENT USD GDP Warrant (price)	15-May-26	4.0	5.6	8.0	3.5	10	-	3,930
Country RV	Buy MEX Feb'35 vs BRAZIL Mar'34 (g-spread)	15-May-26	2	-11	-25	20	10x10.7	13	82
	Switch out of VENZ 38 into PDVSA 26 (price)	15-May-26	9.0	6.0	6.0	10.5	10x10	-	293
LOCAL RATES									
Directional	Pay Jan 29 DI	18-Jun-26	14.71	14.94	15.00	14.35	10	23	229
	SA 1y1y-2y2y steepener	10-Jun-26	3	2	50	-20	10	(1)	(10)
	Buy NGOMOB 22/09/2026	23-Mar-26	18.33	19.96	17.00	19.20	10	(2)	(16)
	Pay 5y INR NDOIS (limit order)	15-Jun-26	6.30	6.33	6.90	6.00	10	-	-
RV	Buy 2028 MBonos	18-May-26	7.65	7.47	7.35	7.90	10	18	182
	Pay 5y HKD IRS vs USD IRS	18-May-26	-77	-58	-35	-90	10	19	194
	HUF 5Y5Y vs PLN 5Y5Y	15-May-26	0	-2	-50	20	10	2	19
	1s5s THB NDTHOR steepener	25-Feb-26	33	54	80	40	10	21	209
CURRENCIES									
Directional	Short USD/TRY 3m FX Forward	22-Apr-26	46.17	47.58	44.60	47.20	10		(305)
RV	Short PEN/CLP	18-May-26	263	267	254	269	10		(188)
	Short EUR/HUF	15-May-26	361	352	340	370	10		-
Closed Trades									
Receive July 27 DIs reached target levels on June 15, 2026									
Long SGD/INR closed on June 14, 2026									
Pay TRY 1Y OIS closed on June 11, 2026									
Jan 28 vs Jan 31 DI Steepener reached stop level June 8, 2026									
Buy CHILE 04/31 vs PERU 31 reached stop levels on May 20, 2026									
CZK 9X12 receiver vs HUF 9X12 payer closed on May 27, 2026									

Source: Morgan Stanley Research; Note: Hold to Maturity (HTM).

Local Markets Snapshots

Ioana Zamfir, Sofia Palacios, Gek Teng Khoo, Nimish Prabhune, Arnab Gupta

LatAm Local Markets		
	FX	Rates
BRL	BRL now looks less compelling as a directional long, with the near-term setup turning more balanced as softer inflows and some position unwinds coincide with earlier-than-expected election noise, limiting upside. External risks (more uncertain Fed path) and downside risks to oil also leave scope for some tactical underperformance vs peers, even if carry continues to provide a cushion. We still prefer fading weaker levels, but with less conviction on a sustained move stronger.	Pay Jan-29 Dis: The catalyst for a sustained rally in Brazil rates after the June BCB meeting remains limited, with a pause now on the table and near-term inflation risks still elevated, while recent repricing suggests markets are becoming more cautious on the easing path, combined with election uncertainty and more volatile US rates, we think the DI curve is likely to embed higher premia for hikes (toward ~100bp) unless polls shift toward clearer fiscal consolidation scenarios.
CLP	Short PEN/CLP: We remain constructive on CLP and we think that to the extent that the peace agreement in the Middle East translates into a sustainable drop in oil prices, then USD/CLP could ultimately test the 820 level over the next few months. That said, renewed concern around potential FOMC hikes could limit the beta of USD/CLP to lower oil prices, suggesting more value in EUR/CLP shorts perhaps. We are in the process of reassessing our PEN/CLP short, as it remains essentially another expression of USD/CLP shorts given very low PEN volatility.	We do not think the BCCh is aiming for a hiking cycle, and the latest IPoM reinforces a prolonged pause with inflation broadly evolving as expected, risks more balanced, and activity weaker than anticipated, effectively removing the prior tightening bias. This should help anchor the front end and limit the scope for a sustained selloff in rates. However, El Niño introduces an upside risk to inflation (through potential disruptions to copper supply and higher commodity prices), which could keep markets cautious on outright receivers, even if it is not enough to shift the base case, leaving the front end broadly range-bound absent a clear change in the external backdrop or central bank communication.
COP	We remain constructive on COP and continue to prefer FX as the medium-term expression of the Colombia election outcome . Local assets had already priced a high probability of a shift toward policy orthodoxy, and the narrow second-round margin suggests that pricing the remaining upside may be less linear than previously expected. Still, the result provides political clarity and keeps the narrative supportive for Colombian assets, while incoming cabinet appointments and details on fiscal plans could provide further upside.	We remain constructive on Colombian rates, but see the rally as more capped than in FX. The narrow mandate increases the risk that the new administration will need to work harder to secure Congressional support, and that fiscal tightening measures could be diluted. While the supportive political narrative and potential fiscal announcements can still help TES yields move lower, ongoing CPI risks, the possibility of further BanRep hikes, and the need for fiscal adjustment should limit the rally. We see 10y TES yields approaching 11.00% as a more natural cap to the move. On a medium-term basis, we prefer 1s5s IBR flatteners over outright bond duration
MXN	We think MXN has remained relatively resilient, but with downside risks building at the margin. The currency has held up well despite Banxico easing and narrower rate differentials, but price action has increasingly tracked broader risk sentiment rather than domestic drivers. At the same time, weaker data (especially the broad-based softness in 1Q26 GDP) points to a more subdued growth outlook, which could ultimately prompt Banxico to resume rate cuts and further dent MXN's carry.	Long 2028 MBonos: We continue to favor nominal bonds, supported by attractive carry (~40bp over three months) and relatively contained inflation , with recent prints showing core still driving but without meaningful upside pressure. On a relative basis, we prefer nominal bonds over TIIE and Udibonos, as carry remains more attractive and there is no clear catalyst to shift away from nominals. While weaker growth supports some room for rates to move lower at the margin, Mexico remains a US rates expression, and a sustained rally is unlikely without lower USTs. We therefore keep the long MBonos for carry, with performance closely tied to US rates.
PEN	Short PEN/CLP: We continue to see PEN as primarily an election story in the near term. With over 99% of votes counted and only contested ballots remaining, Keiko Fujimori maintains a narrow lead, which has been perceived as market-friendly. As a result, FX has reacted positively, with PEN appreciating to pre-war levels, although volatility has remained contained given BCRP intervention through USD purchases aimed at smoothing moves. We continue to prefer CLP on a relative basis, given its higher sensitivity to improvements in terms of trade. We see upside for PEN as increasingly capped given FX intervention.	We expect the BCRP to maintain a patient stance through the rest of the year, with inflation pressures viewed as largely supply-driven and expectations still anchored. In this context, rates have been less driven by election dynamics and more so by anticipation of renewed liability management operations in the near-term. The latter has supported the front end, with short-dated Soberanos outperforming and the 2y trading through USTs. While a more orthodox election outcome could still support a rally, we think that US rates price action is likely to inform appetite for Soberanos over the next few months and we would expect the curve to trade with a flattening bias once the liability management operation is completed (assuming historical patterns hold).

AXJ Local Markets		
	FX	Rates
CNY	We see USD/CNH heading lower in the coming months as China's trade balance remains strong with exports supported by the industrial cycle, and exporters converting their USD receipts into RMB. The gains may be moderate though towards ~6.70 as the CFETS basket is at elevated levels and exporters' FX conversion ratio is also already at the highs in recent years.	We see China rates outperforming its peers by staying largely range-bound. Upside pressure on yields may be limited by still-soft domestic demand, keeping inflation pressures low and rate hike prospects distant. At the same time, we don't expect the PBOC to cut rates and expect the authorities to accelerate the implementation of approved budgets, limiting the downside for yields.
INR	We turn neutral on INR. We expect ~US\$40-60 billion of USD inflows from the capital flow measures announced on June 5, which should keep the FY27 balance of payment in a balanced position. Coupled with lower oil prices, that should help INR stabilise in the near term. The upside may, however, be limited by a potential reduction of the central bank's short USD forward book.	Pay 5-year INR NDOIS: While INR stability may remove a source of upward pressure for yields in the near term, we think yields are still biased to the upside over the coming months. Inflation should continue to rise over the coming months, with upside risks from food. Coupled with growth recovering, risks are that a rate hike could come earlier in 4Q26, as opposed to our economists' current base case of 2Q27.
IDR	IDR may remain one of the relative underperformers in the region. While the currency has cheapened, valuations are still a distance away from historical lows and are not compelling yet . Its balance of payments position remains weak and it may require a pickup in the pace of policy reform to set up a more constructive backdrop for IDR.	Indonesia yields continue to face upside risks, in our view. While rates have cheapened, yield differentials with the US are not attractive enough yet. BI has also signalled support for higher yields to attract capital inflows, and should IDR remain weak, there could be room for more policy rate hikes.
KRW	We like buying KRW on dips. KRW sees tailwinds from the industrial cycle, with growth likely to be above potential and the current account surplus likely to reach a new high. Carry is also improving with the BoK moving towards rate hikes. KRW downside pressure from the NPS and Korea retail investors' foreign purchases should also reduce. Foreign investor flows in Korea equities have also improved.	We continue to see upside risks for Korea yields as inflation is already above the BoK target and may remain so into year-end. Growth is also supported by the industrial cycle, and the expansionary fiscal stance also presents upside risks to yields. While market pricing of BoK hikes is more than our economists' expectations, yields in the past peaked only after rate hikes started.
MYR	MYR continues to be supported by the industrial cycle, with high exposure to both exports of AI-enabling products and energy-transition-related products. FDI inflows have been strong and Malaysia has also been gaining share in global exports. That said, the currency could face some near-term downside risks from uncertainty around the July 11 Johor and Negeri Sembilan elections.	We see Malaysia rates as one of the outperformers in the region. While our economists expect BNM to be the next central bank to tighten policy, the hiking cycle may be shallow with just one hike, limiting the extent to which yields can rise.
SGD	We see SGD as a favourable long. With the easing in oil prices seen, SGD could benefit from strong export growth and expectations of monetary policy tightening in the face of rising inflation. In the risk scenario that oil prices see a renewed rise or hawkish Fed expectations build, SGD could also outperform relatively given its safe-haven quality.	SGD rates could outperform relatively amid SGD FX strength and ample liquidity domestically. Despite the upside risks to inflation, MAS net bill issuance has been low. Our US rates strategists' expectation of lower US yields over the medium term is also conducive for SGD rates to rally.
TWD	TWD could outperform as it is one of the main beneficiaries of the industrial super-cycle, carry is positive, and the bulk of the reduction in lifers' FX hedge ratios could be behind us. Foreigners' equity flows may have become more important for TWD, and we see upside risks given the positive outlook for AI.	
THB	We are neutral on THB. THB could benefit from the easing in oil prices seen and also a recovery in gold prices should US inflation come in lower as our economists expect. The domestic growth outlook has also improved with signs of coordinated monetary and fiscal policy accommodation.	1s5s THB NDTOR steepener: We continue to see upside for Thai yields in the belly and long-end of the curve given inflation is likely to continue rising, fiscal policy seems to be turning more proactive, and the BoT has signalled keeping rates on hold for as long as possible in the current environment.
PHP	PHP may underperform within Asia as its current account deficit is the largest in the region and faces widening pressure, and the economy faces stagflationary risks. FX valuations are not cheap compared to the other current account deficit currencies, and carry cushion is also limited at just ~1% annualised versus USD.	RPGBs may remain under pressure as inflation has risen most significantly with the pass-through of oil to domestic gasoline prices being the highest in Asia. With inflation likely staying elevated, we expect the BSP to continue hiking rates in order to address high inflation.

CEEMEA Local Markets		
	FX	Rates
ZAR	USD/ZAR stability has prevented FX from amplifying the shock, supporting the flatter curve. We remain neutral USD/ZAR, with oil and USD trends balanced, likely keeping the pair range-bound near term.	1y1y vs 2y2y steepener: We think the curve has flattened decently due to the ongoing middle east crisis. We expect central bank to ease less than market expectations and that could steepen the curve. Further, in case of continued sell off in gold there could be marginal bear-steepening pressure too.
PLN	We stay neutral EUR/PLN, with the pair likely to remain range-bound, supported by EU fund conversion flexibility and a broadly stable EM FX backdrop.	HUF 5y5y receivers vs PLN 5y5y payers: We remain neutral on the front end, but see growing risks at the long end, favouring paying Poland vs Hungary as fiscal dynamics are unlikely to improve ahead of 2027. At current levels, PLN 5y5y acts more as a hedge on oil, with sustained pressures likely to drive further steepening.
HUF	Short EUR/HUF: We expect EUR/HUF to move toward 340 in a de-escalation scenario, driven primarily by risk premium compression rather than flows. Positioning remains elevated but supported, with limited scope for intervention, while lower FX volatility will be key in sustaining the longer-term convergence story.	HUF 5y5y receivers vs PLN 5y5y payers: We see a post-election regime shift supporting stronger policy visibility and EU convergence, driving further compression in HUF risk premia. This underpins our view that HUF 5y5y can move further below Poland, with the long end best positioned to outperform.
CZK	We remain neutral on EUR/CZK, with scope for gradual upside if the CNB lags ECB, but broader EM FX resilience likely to cap moves in the near term.	With high real rates and stable FX, we think the CNB can delay tightening, however we don't want to fade the pricing as there is decent risk of CNB following in line with ECB to maintain credibility.
TRY	Short 3m USD/TRY: We continue to favour short USD/TRY carry in the 3-month tenor, as depreciation – despite accelerating – still undershoots forwards, keeping carry returns intact. Inflows have resumed post initial outflows, and the faster crawl appears a prudent adjustment to manage external balances while maintaining investor confidence.	We see upside risks to Turkish rates, with inflation proving stickier than expected and risks of second-round effects building. In this environment, we think the balance of risks favours higher rates than current market pricing. The xccy curve although is steep and we could see curve flatten especially 6m-12m area.
EGP	With the Middle East crisis easing and oil stabilizing, we think EGP FX could become interesting for carry; however we think T-bills could give higher pick up in yields.	With Middle East crisis stabilizing we think Egypt T-Bills could become favorable again as they give extra pick up over FX. Recent appreciation in FX should dampen the inflation and improve real yields offered by Egypt.
NGN	We see NGN stability as a key pillar for the carry trade, with the currency remaining resilient despite recent shocks, supported by strong portfolio inflows and improving external balances. This underpins our preference for unhedged OMO exposure, although risks remain skewed to oil price downside, which could weaken FX and the overall carry profile.	Buy NGOMOB 22/09/2026: We remain constructive on Nigeria local rates, particularly OMO bills, where attractive nominal yields continue to draw strong demand. We expect robust refinancing demand, especially in 1-year tenors, to keep yields well supported. The risk is the upcoming election in January 2027 which we think will not be disruptive to the reform agenda.

Valuation Methodology and Risks

Exhibit 17: Rates trades

Trade	Date	Entry Level	Target	Stop	Rationale	Risks
Pay Jan 29 DI	18-Jun-26	Market Open	15.00	14.35	The catalyst for deeper rates rallies past the June meeting remain very unclear. In fact, with the pause now officially on the table and given still elevated near-term risks to CPI, along with election-related uncertainty, and post-FOMC US rates volatility that suggests a more differentiated approach to ERM receivers, we think that the DI curve is likely to embed more premia for hikes (towards 100bp), unless election polls shift towards scenarios suggesting fiscal consolidation.	A shift in election polls suggesting higher odds of fiscal consolidation.
Short 3m USD/TRY forward	22-Apr-26	48.70	47	47	With the CBT keeping real rates high, the economic programme remaining solid and local political developments becoming less significant for market participants, we continue to like the carry trade in Turkey.	The CBT cutting rates too quickly.
Buy NGOMOB 22/09/2026	23-Mar-26	18.33	17	19	A stronger trade balance should offset portfolio outflows, with oil above the US\$40/bbl breakeven. We expect inflation to rise, likely halting CBN cuts. We initiate coverage on Nigeria macro strategy and prefer OMO bills for higher carry and resilience. Short duration offers protection in weaker FX and higher yield scenarios, while high oil prices favour local assets	Substantial decline in oil prices.
SA 1y1y-2y2y steepener	10-Jun-26	3	50	-20	South Africa rates reflect a gap between market pricing (~75bp hikes) and our lower baseline of another 25bp, with risks driven by inflation uncertainty and global rate dynamics. We see front-end steepeners (1y1y-2y2y) as attractive, given asymmetric upside from oil, politics, and FX risks	SARB hikes more than expected with no fiscal risks
HUF 5Y5Y vs PLN 5Y5Y	15-May-26	0.00	-50	20	We expect further risk compression in HUF vs PLN although we understand the big move has happened and those in the trade should take some profit. But we expect long end to compress further against PLN	Worsening of fiscal scenario and positioning unwind
Buy 2028 MBonos	18-May-26	7.65	7.35	7.90	We think that Banxico's reaction function implies a propensity for delaying any potential hikes as much as possible, though we note that it is the only regional economy whose CPI expectations have yet to de-anchor. If anything, we actually think that there is a non-negligible possibility that the door towards another small adjustment (towards 6.00%) could be open in a few months (perhaps after the World Cup) to the extent that the Middle East conflict is resolved without inflicting meaningful inflationary pressures on Mexico.	A large sell-off in US rates.
Pay 5-year HKD vs USD IRS	15-May-26	-77	-35	-90	We expect HKD liquidity to tighten over the coming months as the dividend season for HK-listed companies begins in June and liquidity seasonally tightens into year-end. This may allow the strong HKD bond issuance trend to start having more impact on the rates market. The improving Hong Kong property market could also help loan growth to continue picking up. We choose the 5-year point to improve the carry profile.	HKD liquidity remains ample.
155s THB NDTOR steepener	25-Feb-26	33	80	40	We like positioning for steepeners in Thailand. Front-end rates should be anchored by monetary policy staying on hold, as inflation was low heading into the oil price rally and the BoT has said it will keep rates on hold for as long as possible to support growth. Oil-driven inflation should thus drive yields in the belly and long-end of the curve higher. Prospects of more active fiscal policy could also help the curve to steepen.	A lack of monetary and fiscal easing to support growth.
Pay 5-year INR NDOIS (limit order)	15-Jun-26	6.30	6.90	6.00	We like paying India rates on dips as inflation should rise over the coming months on base effects and elevated oil prices, with risks tilted to the upside given forecasts of a weaker monsoon season. Our economists see inflation moving into the upper end of the RBI's target range, which may bolster market expectations of rate hikes. There are also risks of the fiscal deficit being wider than the government's FY27 target.	Lower-than-expected inflation in India.

Source: Morgan Stanley Research

Exhibit 18: Credit trades

Stance/Trade	Date	Entry Level	Target	Stop	Rationale	Risks
Buy MEX Feb'35 vs BRAZIL Mar'34	15-May-26	6	-25	20	Mexico has significantly lagged peers and now looks very cheap, including by pricing two full downgrades. Downgrade concerns will likely persist yet our base case sees no actual downgrades in 2026.	USMCA negotiation entering our bear case or Brazilian polls strongly suggesting a shift towards fiscal consolidation
Switch out of VENZ 38 into PDVSA 26	15-May-26	9.0	6.0	10.5	A price of 9 points, or price to claim of 4.6 points, is not warranted given our base case sees PDVSA and the VENZ treated the same in a restructuring.	Any negative announcements suggesting PDVSA bonds will be treated worse than the sovereign bonds
Buy ARGENT USD GDP Warrant	15-May-26	4.0	8.0	3.5	Our fair value stands at 8 assuming a conservative assumption of a 33% probability that there is a payout due to the 2013 reference year	The newly filed 2026 case covering the 2013 payment is dismissed

Source: Morgan Stanley Research

Exhibit 19: Credit stances

Stance/Trade	Date	Entry Level	Target	Stop	Rationale	Risks
Like Turkey Hard Currency Bonds	15-May-26	NA	NA	NA	Turkey's macro backdrop is likely to face manageable pressure in 2026 as higher energy prices weigh on growth, fiscal dynamics and external balances. Spreads now appear to offer sufficient compensation for risks, while both front-end and long-end bonds screen attractively under our framework.	A much sharper increase lower in oil prices.
Dislike Costa Rica Hard Currency Bonds	15-May-26	NA	NA	NA	Costa Rica has been one of the strongest-performing LatAm BB importers, helped by stronger buffers and optimism around the new administration, but we think the market is now underpricing fiscal risks. The latest fiscal framework points to a materially weaker debt trajectory. Spreads are pricing 1.5 upgrades and leave little room for disappointment.	A new fiscal framework created by the new administration with a credible fiscal consolidation path.
Dislike Brazil Hard Currency Bonds	15-May-26	NA	NA	NA	We see risk-reward as negative into the coming months. Our fiscal and rating models suggest Brazil is fair yet this doesn't factor in that the elections may alter the fiscal trajectory.	Brazilian polls strongly suggesting a shift towards fiscal consolidation
Like Mexico Hard Currency Bonds	15-May-26	NA	NA	NA	Mexico has significantly lagged peers and now looks very cheap, including by pricing two full downgrades. Downgrade concerns will likely persist yet our base case sees no actual downgrades in 2026.	USMCA negotiation entering our bear case
Dislike El Salvador Hard Currency Bonds	23-Mar-26	NA	NA	NA	As energy prices remain higher for longer, we see El Salvador as among the more vulnerable in the region given its significant energy importer status. Additionally, progress with the IMF is slow and the upcoming IMF meetings may not yield much positive.	Rapid fall in the oil price or strong endorsement by the IMF on program progress
Like Nigeria Hard Currency Bonds	20-Jan-26	NA	NA	NA	Nigeria has cheapened modestly relative to peers since the start of the year. We think the current account is in a much stronger position to absorb any downside shock, while fiscal metrics remain manageable for now despite revenue risks.	A much sharper move lower in oil prices.
Like Ivory Coast Hard Currency Bonds	21-Nov-25	NA	NA	NA	We like Ivory Coast sovereign credit because it offers value and improving fundamentals. The 10y trades about 138bp wide to BB peers due mainly to Senegal spillover. We think this gap should narrow as regional risks ease. Ivory Coast looks set to reach its 3% deficit target in 2025, supported by tax reforms, stronger exports and better external buffers.	A substantial drop in gold and cocoa prices which impacts the terms of trade.
Like Chile Hard Currency Bonds	17-Nov-25	NA	NA	NA	Chile has shown signs of entering our bull case scenario with a shift to the right in Congress and the presidential election result.	Much lower copper prices and difficulties in implementing policies to consolidate fiscals
Like Argentina Hard Currency Bonds	16-Nov-25	NA	NA	NA	Argentina's bull case is currently playing out, where strong governability comes together with US support to open up the path towards market access, including potential buybacks. Valuations wise there is also still further upside versus other large African single B issuers.	A wider-than-anticipated current account deficit in addition to lack of demand of local currency due to perceived FX overvaluation.
Like Ecuador Hard Currency Bonds	16-Nov-25	NA	NA	NA	Ecuador remains an improving credit story that now also sees reforms as possible due to the stronger governability of the president. A significant current account surplus also provides a supportive FX flows backdrop. Valuation wise there is also still further upside versus other large African single B issuers.	Fall in oil price that impacts fiscals negatively.
Like South Africa Hard Currency Bonds	12-Aug-25	NA	NA	NA	SOAF spreads have underperformed peers recently. Combined with waning fiscal risks, we now see risk/reward as positive.	A resurgence of risks related to the Government of National Unity.
Dislike Peru Hard Currency Bonds	31-May-24	NA	NA	NA	We see risks of a eurobond issuance and further downgrades in the second half of this year, which we do not see as priced in. Wider deficit expectations, growth underperforming and risks associated with Petroperu raise financing needs.	Announcement of no hard currency issuance this year.

Source: Morgan Stanley Research

Exhibit 20: FX trades

Trade	Date	Entry Level	Target	Stop	Rationale	Risks
Short PEN/CLP	18-May-26	263.00	254	269	We think that the sol's recent rebound does not accurately reflect potential election-related risk premium around the second round of the presidential election. Additionally, both currencies remain exposed to oil and copper prices from a terms of trade standpoint, but CLP's domestic narrative should reflect the potential for additional market friendly policies and fiscal consolidation. We acknowledge that given BCRP's more proactive FX approach, another spike in global oil prices would pose some risks to our trades, as CLP would remain more exposed	Sustained increase in oil prices
Short EUR/HUF	15-May-26	361	340	370	We expect EUR/HUF to move toward 340 in a de-escalation scenario, driven primarily by risk premium compression rather than flows. Positioning remains elevated but supported, with limited scope for intervention, while lower FX volatility will be key in sustaining the longer-term convergence story.	Global shock to oil prices and central bank cutting rates faster than expectations
Short 3m USD/TRY forward	22-Apr-26	48.7	46.8	47.1	With the CBT keeping real rates high, the economic programme remaining solid and local political developments becoming less significant for market participants, we continue to like the carry trade in Turkey.	The CBT cutting rates too quickly.

Source: Morgan Stanley Research

Exhibit 21: History of recommendations for stances

Dislike Costa Rica Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Costa Rica Hard Currency Bonds	02-Feb-2026	15-May-2026
Dislike Costa Rica Hard Currency Bonds	15-May-2026	
Dislike Brazil Hard Currency Bonds		
Trade	Entry Date	Exit Date
Dislike Brazil Hard Currency Bonds	22-Oct-2025	23-Mar-2026
Dislike Brazil Hard Currency Bonds	15-May-2026	
Like Mexico Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Mexico Hard Currency Bonds	25-Apr-2025	02-Mar-2026
Like Mexico Hard Currency Bonds	15-May-2026	
Dislike El Salvador Hard Currency Bonds		
Trade	Entry Date	Exit Date
Dislike El Salvador Hard Currency Bonds	23-Mar-2026	
Like Nigeria Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Nigeria Hard Currency Bonds	20-Jan-2026	
Like Ivory Coast Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Ivory Coast Hard Currency Bonds	03-Sep-2024	12-Aug-2025
Like Ivory Coast Hard Currency Bonds	21-Nov-2025	
Like Chile Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Chile Hard Currency Bonds	10-Feb-2025	02-Sep-2025
Like Chile Hard Currency Bonds	17-Nov-2025	
Like Argentina Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Argentina Hard Currency Bonds	02-Sep-2025	08-Sep-2025
Like Argentina Hard Currency Bonds	16-Nov-2025	
Like Ecuador Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like Ecuador Hard Currency Bonds	16-Nov-2025	
Like South Africa Hard Currency Bonds		
Trade	Entry Date	Exit Date
Like South Africa Hard Currency Bonds	12-Aug-2025	

Source: Morgan Stanley Research

Exhibit 22: History of recommendations for trades

SA 1y1y-2y2y steepener										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade or Unit/Notional
1yr1yr ZAR rates	SAFS0101 Curncy	1Y	SA 1y1y vs 5y5y flattener	27-May-2025	353	02-Jul-2025	314	300	390	10
5yr5yr ZAR Rates	SAFS0505 BLC Curncy	5Y	SA 1y1y vs 5y5y flattener	27-May-2025	353	02-Jul-2025	314	300	390	10
1yr1yr ZAR rates	SAFS0101 Curncy	1Y	SA 1y1y-2y2y steepener	10-Jun-2026	3bp			50	-20	10
2y2y ZAR	SAFS0202 BLC Curncy	2Y	SA 1y1y-2y2y steepener	10-Jun-2026	3bp			50	-20	10
Buy MEX Feb'35 vs BRAZIL Mar'34										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade or Unit/Notional
BRAZIL 6.625 20350315 Bond Fixed	US105756CL22	15-Mar-2035	Buy BRAZIL 35 vs PANAMA 35	12-Aug-2025	-10	04-Sep-2025	5	-50	5	9.7x10
PANAMA 6.400 20350214 Bond Fixed	US698299BT07	14-Feb-2035	Buy BRAZIL 35 vs PANAMA 35	12-Aug-2025	-10	04-Sep-2025	5	-50	5	9.7x10
MEX 6.350 20350209 Note Fixed	US91087BAV27	09-Feb-2035	Buy MEX Feb'35 vs BRAZIL Mar'34	15-May-2026	6			-25	20	10x10.7
BRAZIL 6.625 20350315 Bond Fixed	US105756CL22	15-Mar-2035	Buy MEX Feb'35 vs BRAZIL Mar'34	15-May-2026	6			-25	20	10x10.7
Buy ARGENT USD GDP Warrant										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade or Unit/Notional
ARGENT 0.000 20351215 \$GDP Floating-rate	US040114GM64	15-Dec-2035	Buy ARGENT USD GDP Warrant	15-May-2026	4.01			8	3.5	10
Switch out of VENZ'38 into PDVSA'26										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade or Unit/Notional
VENZ 7.000 20380331 Fixed In default	USP97475AJ95	31-Mar-2038	Switch out of VENZ'38 into PDVSA'26	15-May-2026	9			6	10.5	10m
PDVSA 6.000 20261115 REGS Fixed In default	USP7807HAR68	15-Nov-2026	Switch out of VENZ'38 into PDVSA'26	15-May-2026	9			6	10.5	10m
HUF 5y5y rec vs PLN 5y5y payer										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade or Unit/Notional
HUF 5y5y IRS	S0325FS 5Y5Y BLC Curncy	NA	HUF 5y5y rec vs PLN 5y5y payer	15-May-2026	0			-50	20	10
5y5y PLN Forward Swap	PZFS0505 Curncy		HUF 5y5y rec vs PLN 5y5y payer	15-May-2026	0			-50	20	10
Short 3m USD/TRY										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade or Unit/Notional
USD/TRY		3M	Short USD/TRY 3month	20-May-2025	42.66	20-Aug-2025	40.89	39.50	44.0	
USD/TRY		3M	Short 3m USD/TRY FX Forward	24-Sep-2025	44.75	26-Dec-2025	42.8475	43.20	45.5	10
USD/TRY		3M	Short 3m USD/TRY FX Forward	15-Jan-2026	46.17	16-Apr-2026		44.6	47.2	10
USD/TRY		3M	Short 3m USD/TRY	22-Apr-2026	48.7			46.84	47.1	10
Buy NGOMOB 22/09/2026										
Instrument	Identifier	Maturity	Trade	Entry Date	Entry Level	Exit Date	Exit Level	Target/ Objective	Stop/Re- assess	Size of Trade or Unit/Notional
NGOMOB 20260922 245D Zero coupon	NGO3G2209267	22-Sep-2026	Buy NGOMOB 22/09/2026	23-Mar-2026	18.33			17	19.2	10

Source: Morgan Stanley Research

Definition of terms

Buy/Long: The analyst expects the total or excess return (depending on the nature of the recommendation) of the instrument or issuer that is the subject of the investment recommendation to be positive over the relevant time period.

Sell/Short: The analyst expects the total or excess return (depending on the nature of the recommendation) of the instrument or issuer that is the subject of the investment recommendation to be negative over the relevant time period.

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

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